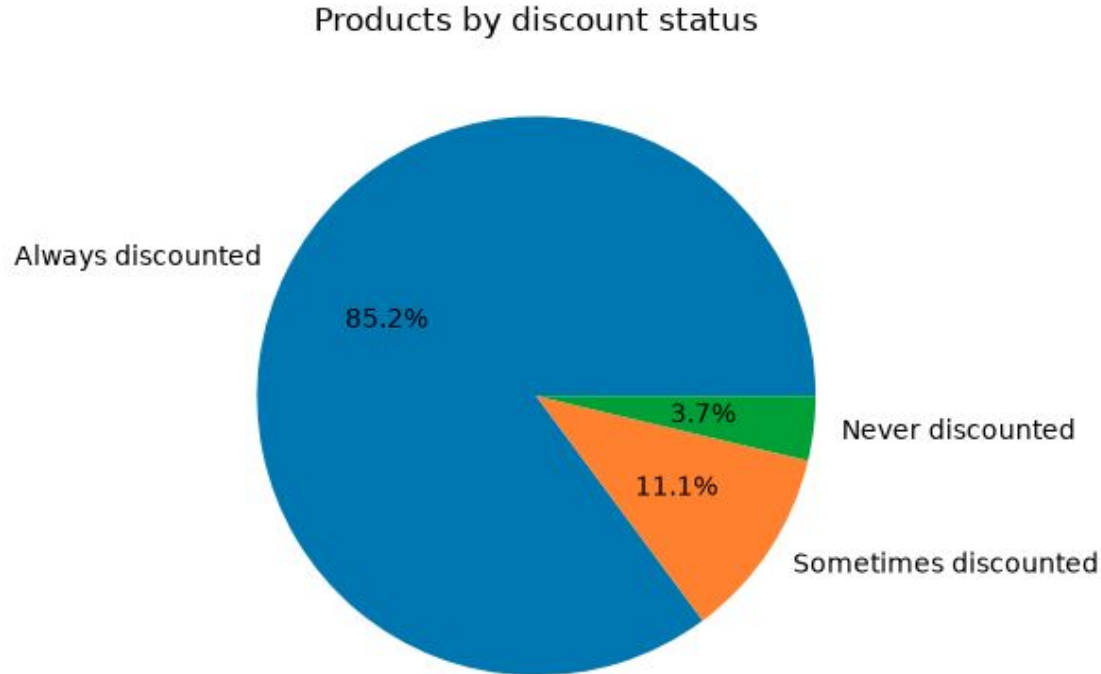


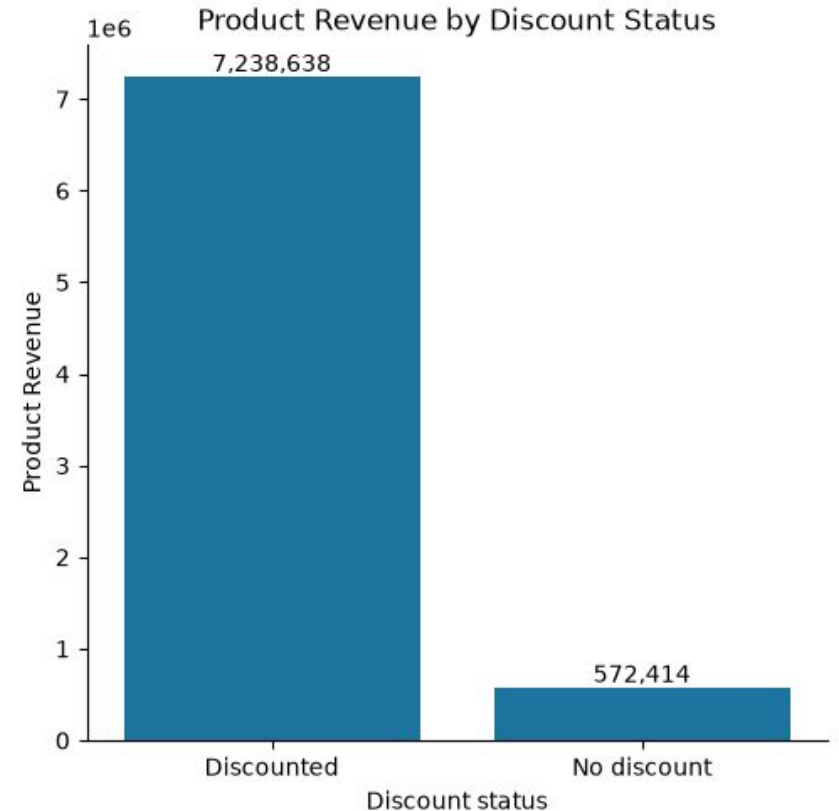
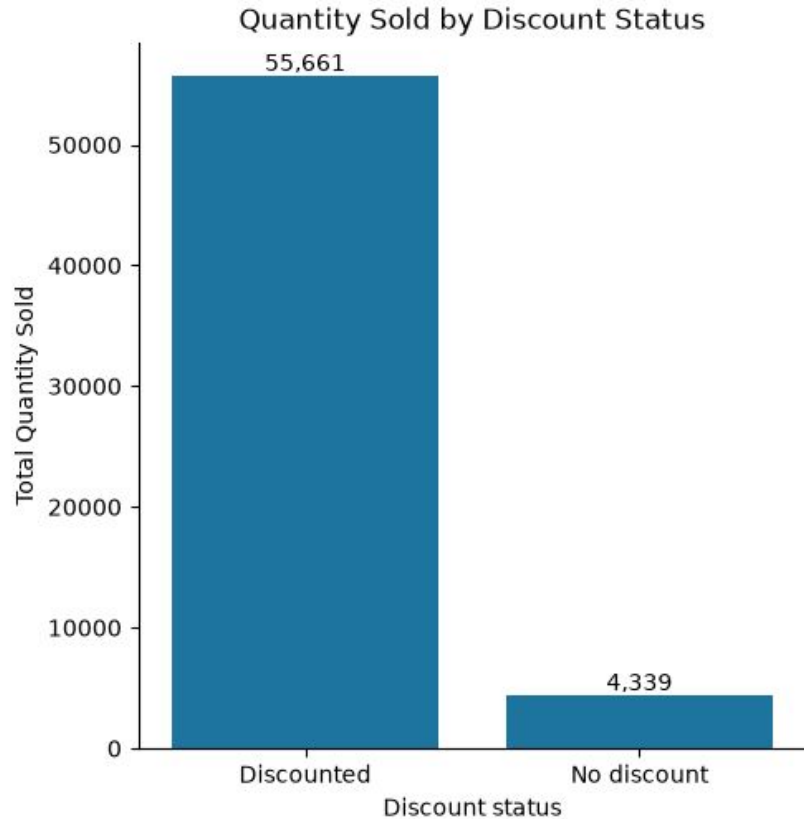
Is the discounting strategy beneficial
and do they drive sales?

Yes, but the discounts are too aggressive and indiscriminate

- Eniac has a strategy which is heavily discount-based.
- 85% of the catalogue is always discounted.
- This complicates the analysis.

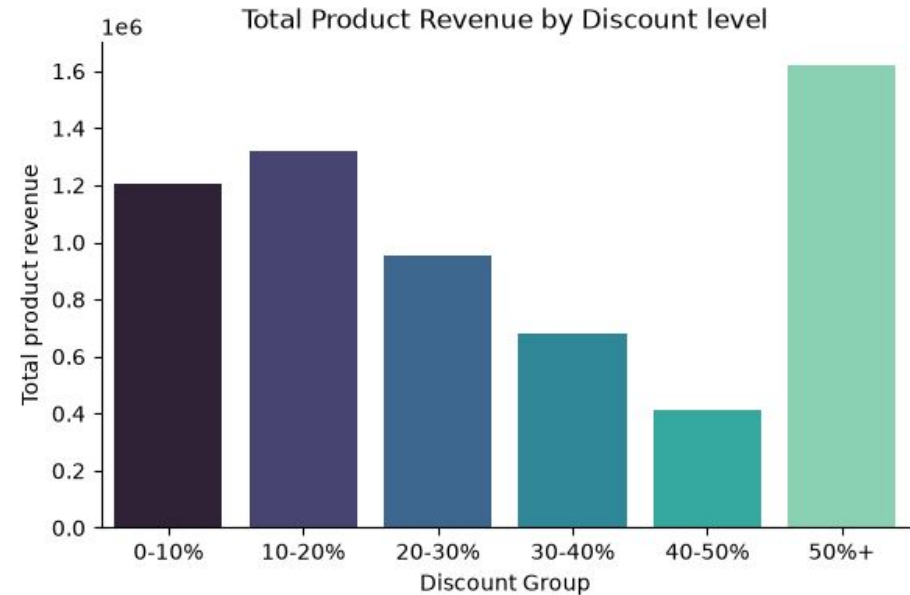
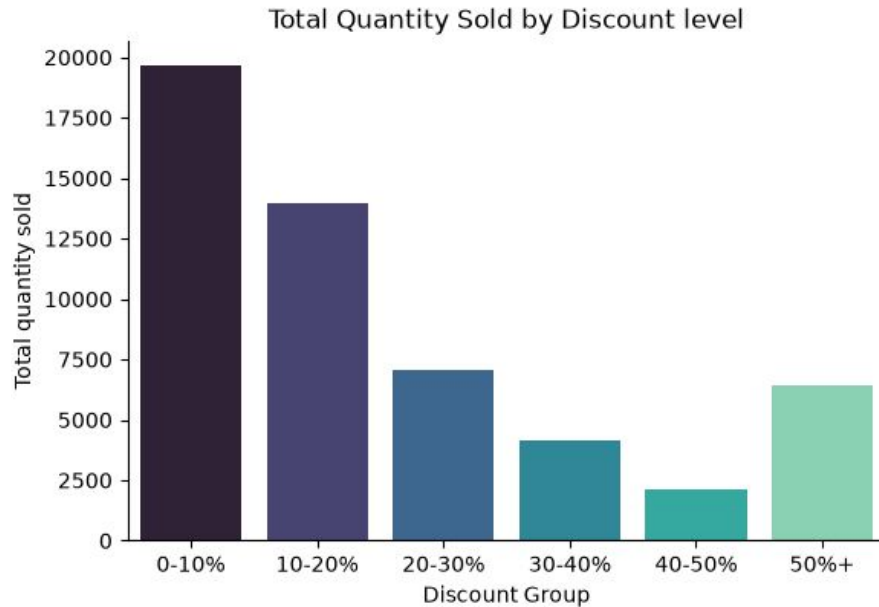


Discounted products account for about 93% of both units sold and product revenue.

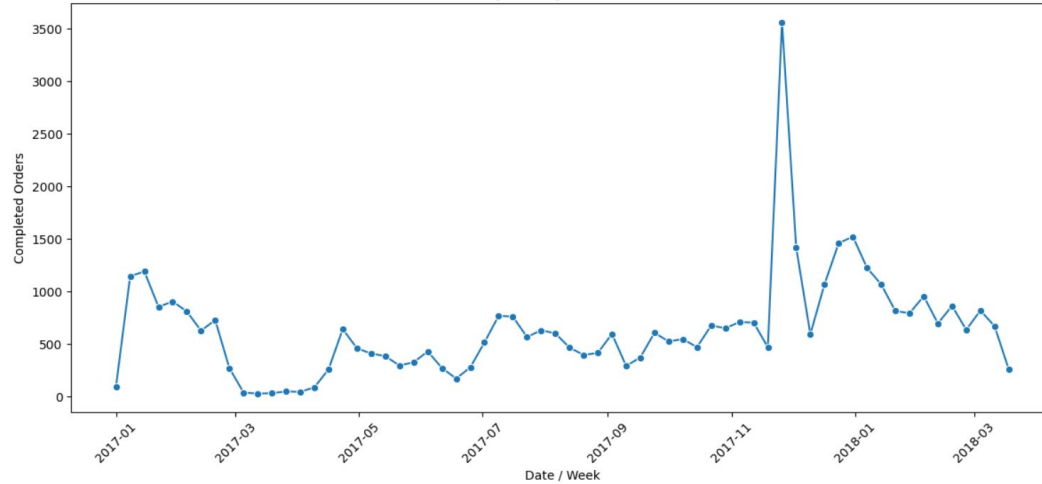


Lower discounts sell more units, while 50%+ discounts generate the most revenue.

But do they drive profit?

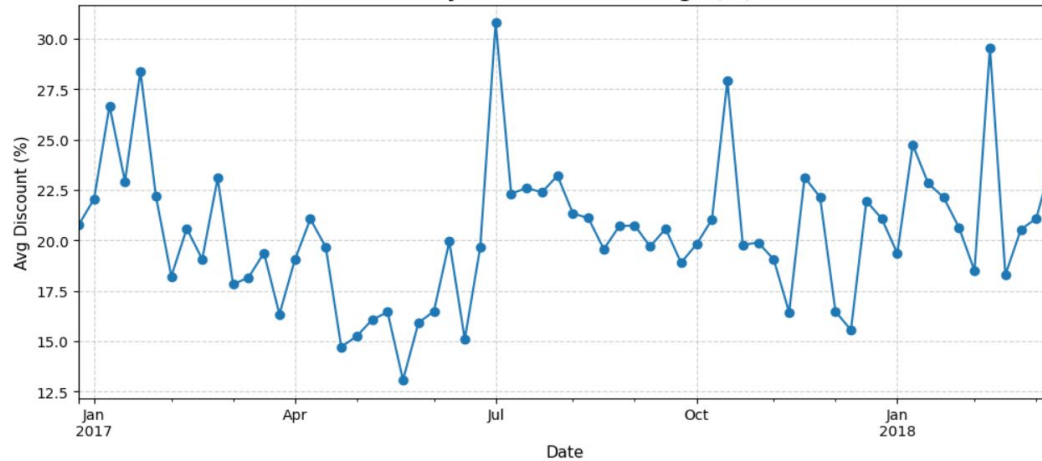


Weekly Completed Orders



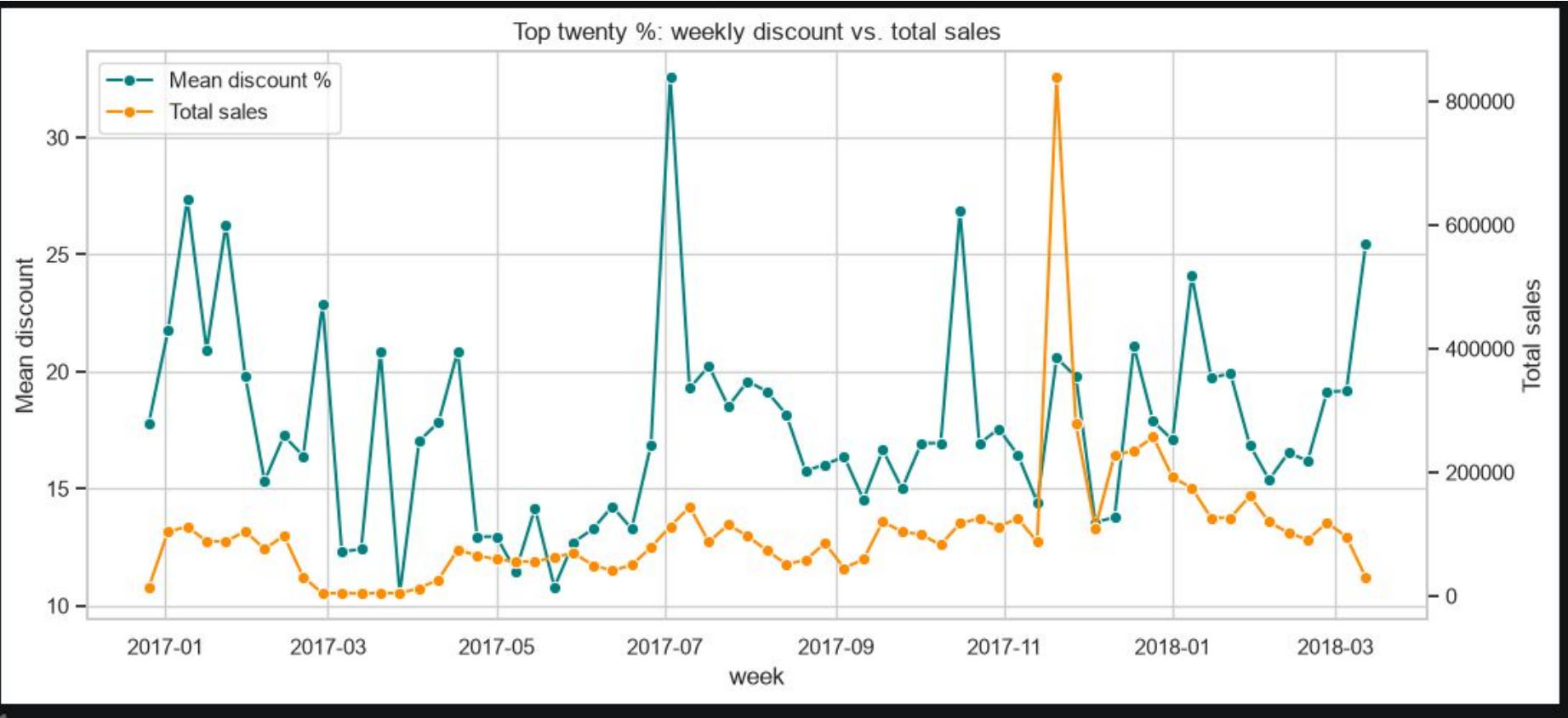
- Seasonality is mainly driving sales numbers.

Weekly Discount Percentage (%)



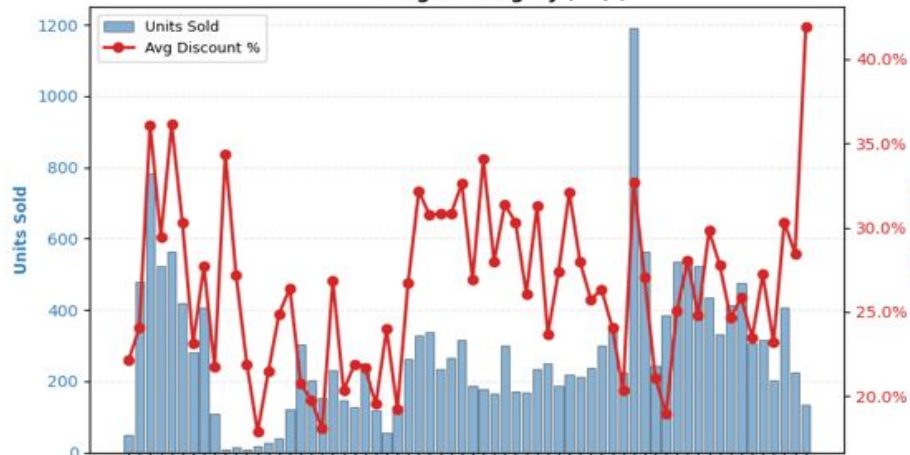
- Year-round discounts not targeting specific periods.

Our top 20% of earners together account for 85% of our revenue. On the aggregate level, we see a weak correlation between high discounts and sales.

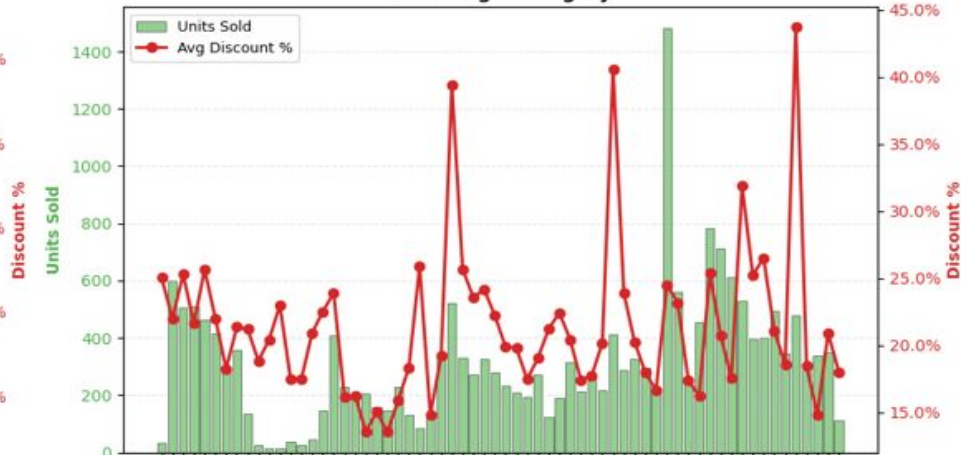


Weekly Sales Volume vs. Avg Discount (%) by Price Category

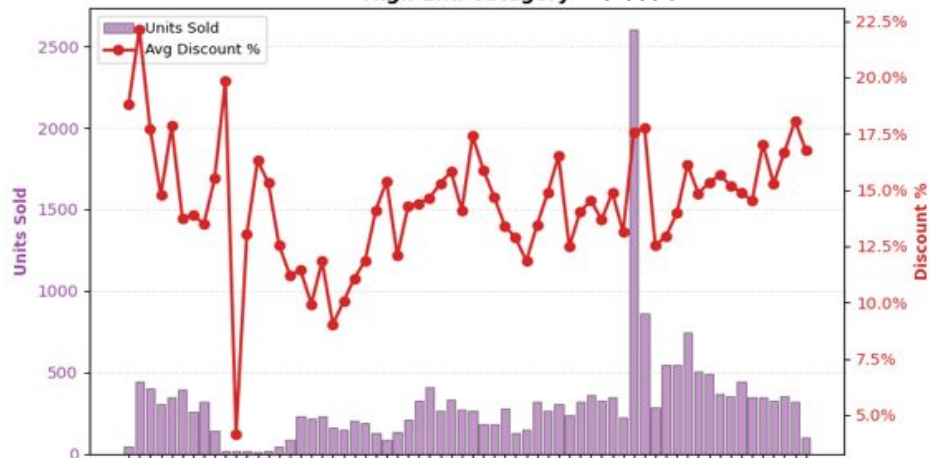
Budget Category 0-43€



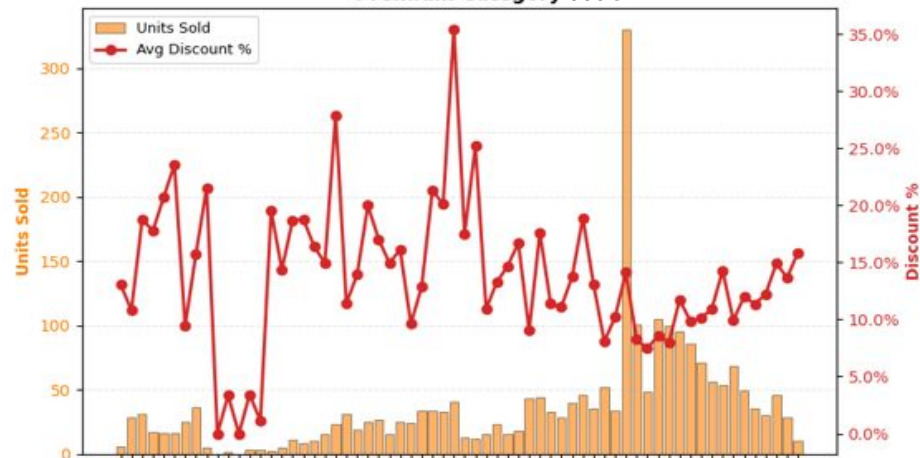
Mid-Range Category 43-113€



High-End Category 113-660€



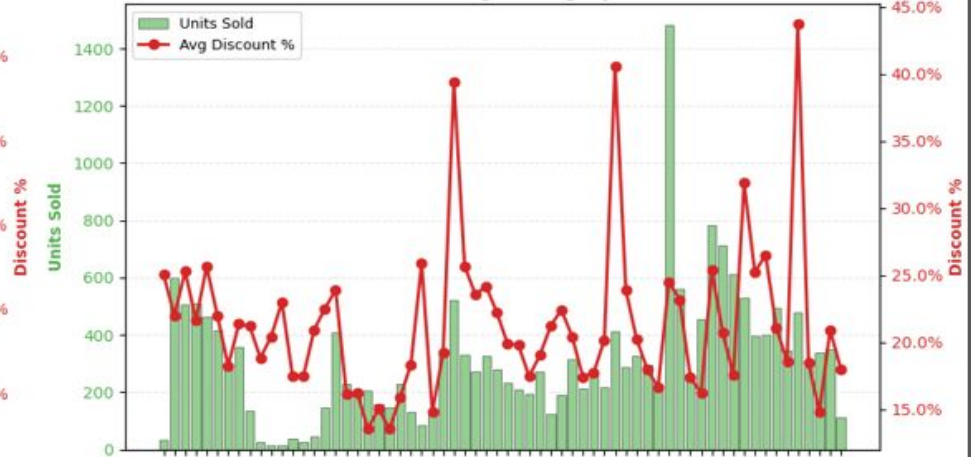
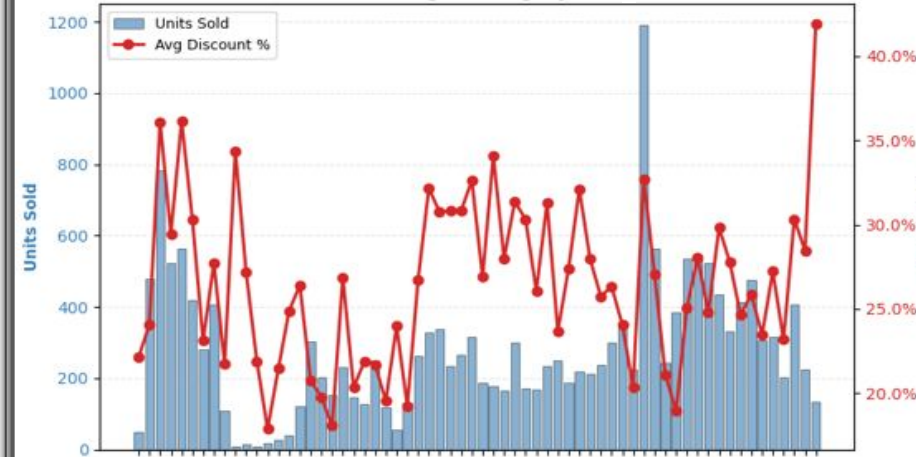
Premium Category 660€<



Weekly Sales Volume vs. Avg Discount (%) by Price Category

Budget Category 0-43€

Mid-Range Category 43-113€



High-End Category

Premium Category



- Lower price segments are reacting positively to the discounts.
- Also, discounts have been used more strategically on these segments.

Weekly Sales Volume vs. Avg Discount (%) by Price Category

Budget Category

Mid-Range Category

- High-price buyers ignore price drops, even with big cash savings.
- Sales for expensive items match with seasonal events, not price cuts.

High-End Category 113-660€

Premium Category 660€<

Conclusion

Summary:

- Most products are always on discount.
- On the whole, **HIGHER** discounts do not seem to drive sales directly.
- For the medium- and lower-priced segments, we see a stronger effect.

Advice:

- Move from constant discounting to a more targeted and occasional discount strategy.



YOU GET A DISCOUNT!



YOU GET A DISCOUNT!



YOU GET A DISCOUNT!



EVERYBODY GETS A DISCOUNT!

USE CODE: DISCOUNT FATIGUE OPRAH %

- Eniac has a strategy which is heavily discount-based.
- 85% of the catalog is always discounted, even if the size of the discount changes.
- This complicates the analysis.

